

STOCK UPDATE

Result Update - Q4FY2026

SECTOR

Diversified

COMPANY DETAILS

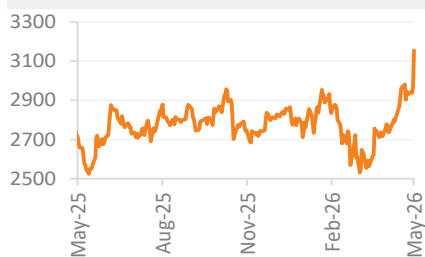
Market cap:	Rs. 214,676 cr
52-week high/low:	Rs. 3,198/2,504
NSE volume: (No of shares)	8.2 lakh
BSE code:	500300
NSE code:	GRASIM
Free float: (No of shares)	38.3 cr

Source: NSE, BSE, Mirae Asset Sharekhan Research

SHAREHOLDING (%)

Promoters	43.7
FII	14.9
DII	16.3
Others	25.1

Source: NSE, BSE, Mirae Asset Sharekhan Research

PRICE CHART


Source: NSE, BSE, Mirae Asset Sharekhan Research

PRICE PERFORMANCE

(%)	1m	3m	6m	12m
Absolute	13.6	11.3	17.4	17.9
Relative to Sensex	18.7	20.5	28.8	25.0

Source: Mirae Asset Sharekhan Research, Bloomberg

Reco/View: **BUY**

CMP: **Rs. 3,154**

Price Target: **Rs. 3,530**
Quick Snapshot

- Revenue and EBITDA strongly beat expectations by 12.6%/24.1% while PAT loss, was below our expectations too.
- Birla Opus expanded revenue market share by around 90 bps q-o-q in Q4FY26 and 370 bps over FY25.
- Birla Pivot more than doubled revenue y-o-y and is close to its Rs.8,500 crore annual revenue guidance and expects to exit FY27 with an EBITDA breakeven or possible sooner.
- We retain Buy with a revised SOTP-based PT of Rs. 3,530, supported by sustained momentum in paints and improving operating leverage.

Result overview

- Standalone revenue reached Rs. 11,774 crore (up 31.9% y-o-y), driven by strong traction in Paints and B2B E-commerce. Operating profit surged 145% y-o-y to Rs. 541 crore, with EBITDA margin at 4.6% (+212 bps y-o-y). This was led by superior performance in cellulosic fibres and textiles, partially offset by initial investments in new businesses Birla Opus and Birla Pivot. Net profit was a loss of Rs. 82 crore vs 174 loss in Q4FY25.
- Birla Opus delivered strong scale-up in FY26, with Q4 FY26 revenue growth of 52% y-o-y on a like-to-like basis and 71% excluding CWIP. FY26 revenue doubled versus FY25 despite the sixth plant being commissioned only in October.
- Birla Opus has 1,332 million litres per annum of capacity, equal to 24% of industry capacity as per management. The company aims to align revenue market share with capacity share over the medium term, while price hikes are being taken to offset raw material and packaging cost pressures.
- The management flagged significant raw material inflation, with crude-linked inputs and packaging seeing sharp cost pressure. Birla Opus expects demand elasticity to be tested in Q1-Q2FY27 as price hikes are implemented, though it remains committed to market share gains and the Rs.10,000 crore profitable revenue ambition.
- Total revenue for the Cellulosic Fibres segment grew by 14% y-o-y to ₹4,614 crore. The business EBITDA grew 2x at Rs. 588 crore led by volume growth, operating efficiencies, favorable product mix and benign pulp prices.
- Specialty chemicals revenue grew 5% y-o-y, but profitability was partly impacted by higher input prices. Specialty chemicals now contribute 27% of revenue mix and chlorine derivatives 22%.
- Revenue for Chemicals business segment was up by 7% y-o-y at ₹2,458 crore and EBITDA stood at Rs. 304 crore, up 3% y-o-y led by better profitability in Caustic & Chlorine derivatives.
- Grasim remains the market leader in chlor-alkali with 1.5 MTPA installed capacity. Capacity is being expanded from 1,505 KTPA to 1,530 KTPA, with further capacities under evaluation.

Our Call

A diversified business model continues to deliver, with strong performance across its chemicals and building materials segments. Chemicals division reported healthy growth, supported by higher volumes, improved caustic soda realisations, and better profitability in chlorine derivatives. Building materials segment, led by Birla Opus, maintained strong momentum with market share crossing 10% and an increasing contribution from premium and luxury products, while the Birla Pivot continues to scale up rapidly and is tracking ahead of guidance. Although the cellulosic fibre segment faced margin pressure from elevated input costs and soft export demand, the company remains focused on cost optimisation and specialty mix enhancement. With UltraTech Cement's robust outlook further strengthening consolidated earnings visibility, we retain our BUY rating and revised our price target to Rs. 3,530, (based on an SOTP valuation) reflecting strong long-term growth prospects across both established and emerging businesses.

Key Risks

Funding requirement of its group companies and weakness in the standalone business are key risks.

Valuation

	Rs cr			
Particulars	FY25	FY26	FY27E	FY28E
Revenue	31,563	41,039	46,943	53,984
OPM (%)	3.6%	4.3%	5.3%	6.1%
Adjusted PAT	376	478	898	1,350
y-o-y growth (%)	-77	27	88	50
Adjusted EPS (Rs.)	5.5	7.0	13.2	19.8
P/B (x)	3.47	3.41	3.40	3.36
RoNW (%)	0.7%	0.9%	1.6%	2.4%
RoCE (%)	0.6%	0.7%	1.3%	1.9%

Source: Company; Mirae Asset Sharekhan estimates

Note: CMP as on May 21, 2026

Concall highlights

- **Cellulosic fibres:** Total revenue for this segment grew by 14% y-o-y to Rs. 4,614 crore. The business EBITDA grew 2x at ₹588 crore led by volume growth, operating efficiencies, favorable product mix and benign pulp prices.
- **Chemicals:** Revenue rose by 7% y-o-y at Rs. 2,458 crore and EBITDA stood at ₹304 crore, up 3% y-o-y led by better profitability in Caustic & chlorine derivatives.
- **Building Materials:** The building materials segment reported its highest-ever quarterly revenue at ₹30,042 crore, up 19% y-o-y led robust performance across Cement, Paints and B2B E-commerce businesses. EBITDA grew by 22% y-o-y at Rs. 5,386 crore on the back of higher profitability in Cement business (UltraTech)
- **Birla Opus:** Birla Opus is now the No. 3 player in organized decorative paints, and when combined with Birla White Putty, it is nearing the No. 2 position.
 - Birla Opus built a wide distribution network across 11,500 towns, crossed 50,000 billed dealers, and operated through 146 depots. Institutional sales showed strong traction, growing 43% q-o-q and 212% y-o-y, supported by over 10,000 sites billed in Q4 FY26 and a 45,000-site pipeline.
 - Birla Opus' revenue momentum was supported by secondary sales from over 4.5 lakh active contractors and nearly 37,000 active tinting machines.
 - Birla Opus expanded to 218 products and 1,850 plus SKUs after adding 42 products in FY26. Premium and luxury products contributed 65% by value.
 - Birla Opus has 1,332 million liters per annum of capacity, equal to 24% of industry capacity as per management. The company aims to align revenue market share with capacity share over the medium term, while price hikes are being taken to offset raw material and packaging cost pressures.
 - Management expects the paints industry to move from single-digit to double-digit growth in FY27, while monitoring price elasticity. Birla Opus expects growth from both distribution expansion and higher throughput. Town presence is expected to rise from 11,500 to over 15,000 by FY27-end. Existing dealers are expected to sell more categories as confidence improves.
- UltraTech crossed 200 MTPA grey cement capacity in April 2026 and targets 240 plus MTPA by March 2028. Operating EBITDA per ton reached INR1,253, while Grasim expects nearly INR4,000 crore cash inflow from UltraTech's dividend, excluding taxes
- Renewables and textiles delivered strong performance. Renewable revenue grew 60% y-o-y in the quarter and EBITDA grew 55%. Textile revenue grew 14% y-o-y, and EBITDA improved to INR35 crore versus a loss of INR8 crore. Grasim's board announced a final dividend of 500%, equal to INR10 per equity share, marking the 63rd consecutive year of dividend payment.
- Grasim will invest INR2,880 crore in Aditya Birla Capital's Rs. 4,000 crore preferential allotment to maintain its 52.3% fully diluted stake. Management views AB Capital as a diversified proxy for India's financial ecosystem growth.
- Management said that the current dividend cash flow of UltraTech will be used partly for dividends to Grasim shareholders and partly to maintain stake in Aditya Birla Capital. Grasim's internal revenue and EBITDA will be reinvested into its growth businesses. Management clarified that this is current allocation, not a long-term formal policy
- Grasim intends to maintain over 50% shareholding in both UltraTech and Aditya Birla Capital.
- Grasim remains bullish on insulators, especially polymer long rods and polymer hollow composites, while porcelain will focus on productivity improvements rather than base capacity expansion.

Results

Particulars	Rs cr				
	Q4FY26	Q4FY25	yoy %	Q3FY26	q-o-q %
Net sales	11,774.3	8,925.8	31.9	10,431.8	12.9
Total expenditure	11,233.8	8,705.2	29.0	9,952.5	12.9
Operating profit	540.5	220.5	145.1	479.2	12.8
Other Income	119.0	226.9	(47.6)	105.9	12.4
Interest	246.1	200.9	22.5	239.4	2.8
PBDT	413.3	246.5	67.7	345.7	19.6
Depreciation	571.0	500.8	14.0	538.6	6.0
Extra-ordinary item	81.9	114.0	(28.2)	47.7	71.7
PBT	(239.5)	(368.2)	NA	(240.5)	NA
Tax	(76.0)	(80.3)	(5.3)	(66.1)	14.9
Net Profit/(loss) from discontinued operations	-	-	NA	-	NA
Reported PAT	(163.5)	(288.0)	NA	(174.4)	NA
Extra-ordinary item	81.9	114.0	(28.2)	47.7	71.7
Adjusted PAT	(81.7)	(174.0)	NA	(126.8)	NA
EPS (Rs)	(2.4)	(4.2)	NA	(2.6)	NA
Operating margin	4.6	2.5	212	4.6	0
Net Margin	-0.7	-1.9	126	-1.2	52
Tax rate	31.7	21.8	993	27.5	424

Source: Company; Mirae Asset Sharekhan Research

Additional Data

Top 10 shareholders

Sr. No.	Holder Name	Holding (%)
1	Birla Group Holdings Pvt Ltd	6.63
2	IGH Holdings Pvt Ltd	4.46
3	Life Insurance Corp of India	4.29
4	Pilani Investment & Industries Cor	2.26
5	Hindalco Industries Ltd	1.53
6	Vanguard Group Inc/The	1.51
7	SBI Funds Management Ltd	1.46
8	Blackrock Inc	1.43
9	Gagandeep Credit Capital Pvt Ltd	1.34
10	Shamyak Investment Pvt Ltd	1.28

Source: Bloomberg

Key management personnel

Name	Designation
Kumar Mangalam Birla	Chairman
Himanshu Kapania	Managing Director
Hemant Kumar Kadel	Chief Financial Officer

Source: Company Website

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